Trump Accounts: a plain-English guide for families

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Congress created Trump Accounts in 2025 (Internal Revenue Code Section 530A) and they opened nationwide on July 4, 2026. Millions of children have already been signed up, according to the IRS. This guide explains what the accounts are, who receives the $1,000 federal contribution, and the rules families most often get wrong. It is education, not personal advice. Bring your questions to us.

$1,000
FEDERAL SEED
One-time federal pilot contribution for eligible children born 2025 through 2028.

$5,000
ANNUAL CAP
Combined yearly limit on regular contributions, indexed for inflation after 2027.

Index funds
INVESTMENTS · PROPOSED
U.S. stock index funds only, with total annual fees and expenses of 0.10% or less. Proposed IRS rules, August 21, 2026. Comments close October 20.

Age 18
LOCKED UNTIL
No withdrawals before January 1 of the year your child turns 18, with narrow exceptions.

What is a Trump Account?

A Trump Account is a tax-deferred investment account for a child. Money in the account is invested in low-cost U.S. stock index funds and grows without yearly tax. Once the child reaches adulthood, the account follows traditional IRA rules. The program is real: it was created by federal law and is run through the IRS and the Treasury Department.

The $1,000: who qualifies and how to claim it

Your child qualifies for the $1,000 pilot contribution if the child is a U.S. citizen with a valid Social Security number and was born between January 1, 2025 and December 31, 2028. You claim it by filing IRS Form 4547, either with your 2025 federal tax return or on its own. Families who do not normally file a return can submit Form 4547 by itself, online, with an extra ID.me identity-verification step.

NO RUSH, AND NO OCTOBER DEADLINE

Some websites suggest a deadline to claim the $1,000. The official IRS instructions say Form 4547 can be filed at any time, and no cutoff has been announced. One real limit does exist: the form cannot be attached to an amended return. If you are thinking about amending a past return, talk to us first.

NEW SINCE THE LAST VERSION OF THIS GUIDE

On August 21, 2026 the Treasury and the IRS published **proposed** rules on which investments a Trump Account may hold. They are not final: the public comment period runs until October 20, 2026. The rules as proposed would limit the account to index mutual funds and ETFs that track a broad U.S. equity index, with total annual fees and expenses no higher than 0.10% of assets, and would exclude sector-specific and ESG index funds. We are tracking this and will update the guide when anything changes what you should actually do.

Contribution rules most people get wrong

RULE	WHAT IT ACTUALLY SAYS
The $5,000 cap	Regular contributions from all sources combined are capped at $5,000 per calendar year, indexed for inflation after 2027.
Employer money counts inside the cap	An employer may contribute up to $2,500 per employee per year, excluded from your income. Widely misreported: that money counts inside the $5,000 cap, not on top of it.
What sits outside the cap	The $1,000 pilot contribution, government and charitable contributions, and rollovers do not count against the $5,000.
Gift tax and Form 709	Usually no gift tax return is needed. Under a June 2026 IRS revenue procedure, cash contributions for a child under 18 count as present-interest gifts eligible for the annual exclusion, which removes a filing requirement that would otherwise have applied. The relief is conditional: see the questions sheet.
Where the rules stand	No proration of the cap has been announced for 2026, and the law provides no carryforward of unused cap. Regulations are arriving in pieces: contribution and pilot rules were proposed in March 2026, investment rules on August 21, 2026, with comments open until October 20. We track each release and update this guide when something changes what you should actually do.

The honest catch

- **The money is locked.** No withdrawals before January 1 of the year your child turns 18, apart from narrow exceptions such as rollovers, ABLE rollovers, corrections of excess contributions, and distributions at death.
- **Tax-deferred is not tax-free.** After 18 the account follows traditional IRA rules. Withdrawals are generally taxed as ordinary income, and early-distribution rules can add a 10% charge.
- **The investment menu is fixed.** U.S. equity index funds only, with total annual fees and expenses of 0.10% or less under the proposed rules. You cannot pick other investments inside this account.

Whether to add money beyond the $1,000 seed is a real decision. It depends on your goals, your other accounts, and your cash needs. That is exactly the conversation to have with us.

Questions worth bringing to us

- How does this compare with a 529 plan or a custodial Roth IRA for our family?
- My employer offers a contribution. What should I ask HR during open enrollment?
- Should we contribute new money, or leave it at the $1,000 seed?
- A relative wants to contribute. Does anyone have to file a gift tax return?
- What is this money for, and who decides when our child turns 18?

Mixed-status families

The child must be a U.S. citizen with a valid Social Security number, born 2025 through 2028. The parent who files the claim may use an ITIN. No parent immigration-status requirement appears in the official guidance published so far, and regulations are still pending. This guide is not immigration advice; for immigration questions, consult a qualified immigration attorney.

AVOID THE COPYCATS

Start from the official IRS page, irs.gov/trumpaccounts, and follow links from there. Lookalike websites exist. The government does not charge a fee to claim the $1,000.

SOURCES · VERIFIED AGAINST OFFICIAL GUIDANCE THROUGH AUGUST 24, 2026

IRS Notice 2025-68 · IRS Form 4547 and instructions · IRS News Release IR-2026-42 · Rev. Proc. 2026-25 (June 29, 2026), transfer tax safe harbor · Proposed regulations, Guidance on Eligible Investments for Trump Accounts, RIN 1545-BS14, Federal Register August 21, 2026, comments close October 20, 2026 · Department of Labor Technical Release 2026-02 · U.S. Treasury launch announcement, July 4, 2026.